



CAPITAL & CONFLICT

The UAE Investor's Conviction – March 2026

Where Political Resilience And Opportunity Meet Capital Inflows

This is a BlackOak analytical position on the UAE property market in the context of the ongoing US Israeli military operation against Iran that commenced in February 2026. It is designed to inform investor decision making, provide structural context, and articulate our conviction that the UAEs long run real estate fundamentals remain not only intact but accelerating.

KEY TAKEAWAYS

1. The UAE has outperformed every major global real estate hub across each market shock of the past 25 years: GFC, COVID19, Arab Spring, and repeated regional conflicts.
2. At \$458/sq ft (Dubai) and \$259/sq ft (Abu Dhabi), UAE real estate remains the most undervalued gateway market globally, trading at a 3 to 11x discount to London, Singapore, New York, and Hong Kong.
3. Capital rotation toward safe haven real assets accelerates during geopolitical uncertainty, and the UAE captures a disproportionate share of that rotation as the region's neutral commercial hub.
4. Current conditions reflect measured sentiment volatility, not structural deterioration. No indicators of systemic war pricing, distressed selling, or capital flight.
5. The present moment represents a selective, time-limited entry opportunity for disciplined allocators with conviction and a 3 - 5 year horizon.

CHAIRMAN'S FOREWORD

I write at a moment when the UAE stands once again as a beacon of resilience and opportunity amid global uncertainty. The recent regional escalation has tested markets worldwide, yet the UAEs real estate sector continues to demonstrate unmatched structural strength: Dubai logged USD 272-354 million in daily transactions through the first week of March 2026, while Abu Dhabi recorded its strongest year on record in 2025, with transaction values surging 44% to USD 38.7 billion. Trophy deals in the tens and hundreds of millions have continued to close without concession, underscoring enduring investor conviction.

This update articulates our disciplined approach to capitalising on the UAEs structural advantages: a tax free jurisdiction, USD pegged safe haven, transaction volumes exceeding USD 275 billion (20% y-o-y increase) in 2025, and a pipeline of premium assets across prime locations. Our leadership team brings decades of institutional and retail credibility and expertise in diverse market conditions.

The UAE's trajectory is not merely recovery; it is acceleration. As foreign capital continues to rotate toward the country, demand remains broad-based across end-user, institutional and private-wealth segments, while valuations still trade at a deep discount to global gateway cities. In this context of rising inflows, strengthening fundamentals and structurally under-priced assets, BlackOak's stance is unchanged: disciplined in selection, deliberate in strategy, and unwaveringly confident in the UAE's medium- to long-term upside.

Imran A. Sheikh
Founder & Executive Chairman

1. TWENTY-FIVE YEARS OF SHOCKS – AND DOUBLE-DIGIT COMPOUNDING

11% CAGR 25-YEAR TRACK RECORD Nearly 3× the global average	523 USD/SQ FT — 2025 AVG Up from 27 USD/sqft in 1999	AED 3.67 FIXED USD PEG Backed by sovereign reserves since 1997
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Over the last 25 years, UAE real estate – led by Dubai – has absorbed every major regional and global shock: the Global Financial Crisis, Arab Spring, oil price collapses, COVID-19, and repeated security flare-ups in the wider Middle East. Each period brought short-term volatility. None of them broke the long-term trend.

Dubai’s residential market has delivered compounded annual growth of roughly 11% over that period, nearly three times the global average according to multiple independent studies. From around ~\$27 per sq ft in 1999, prices climbed to approximately ~\$523 per sq ft by 2025, with each drawdown followed by a recovery to new highs within a two-to-three-year window.

The underlying mechanism is straightforward: when geopolitical risk rises, mobile capital looks for jurisdictions that combine safety, legal clarity and upside. In this region, that combination increasingly has a three-letter name: UAE.

DUBAI RESIDENTIAL PRICE INDEX — KEY MILESTONES (USD/SQ FT)

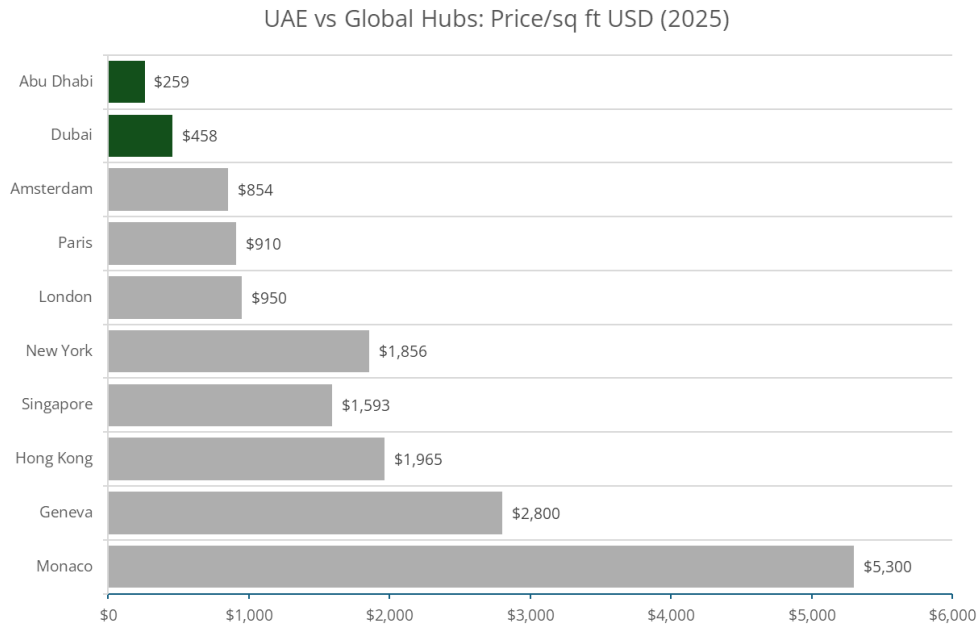
Year	Price(\$)	Event
1999	27	Base year — pre-freehold ownership
2008	278	Peak — pre-GFC correction
2010	240	Post-GFC trough (–14%)
2014	314	Recovery and new high
2020	284	COVID dip (–6%)
2021	337	Rapid post-COVID recovery
2023	460	Sustained demand surge
2025	523	Record high — entering current period

Despite every shock, Dubai prices ended higher within 2–3 years — demonstrating structural resilience, not cyclical luck.

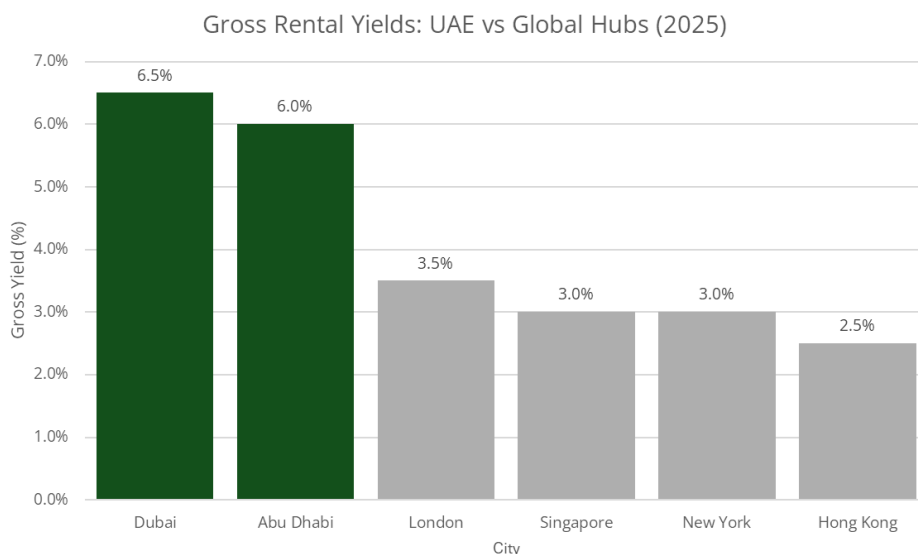
2. TEN YEAR SCORECARD: UAE vs GLOBAL HUBS

Benchmarking the most undervalued gateway market on the planet

The single most compelling data point for any global allocator is this: Dubai trades at \$458/sq ft and Abu Dhabi at \$259/sq ft — while London commands \$950/sq ft, Singapore \$1,593/sq ft, New York \$1,856/sq ft, and Hong Kong \$1,965/sq ft. The UAE offers gateway-city fundamentals — rule of law, deep liquidity, global connectivity, sovereign stability — at a fraction of the cost of its peers.



The yield picture is equally compelling. Dubai delivers gross rental yields of 6–7%, compared to 3.5% in London, 3.0% in Singapore, and 2.5% in Hong Kong. After accounting for the UAE's zero capital gains tax and zero income tax on rental receipts, the net advantage for international investors is transformational.



Global Residential Benchmarks (2025)

City	Price (USD/sq ft)	Gross Yield	YoY Growth	Tax on Rental
Dubai	\$458	6–7%	+16–18%	0%
Abu Dhabi	\$259	~6%	+32%	0%
Amsterdam	\$854	~4%	+0.7%	Taxed
Paris	\$910	~3.5%	–3%	Taxed
London	\$950	3.5%	–2%	Taxed
Singapore	\$1,593	3.0%	Flat	Taxed
New York	\$1,856	3.0%	+2–3%	Taxed
Hong Kong	\$1,965	2.5%	–7–8%	Taxed
Geneva	\$2,800	~2.5%	+2%	Taxed
Monaco	\$5,300	~1.5%	+1%	Taxed

Sources: FAM Properties, Global Property Guide, Totality Estates

The implication is clear: yield compression from 6 - 7% toward London/Singapore levels of 3 - 4% implies 50 - 80% capital appreciation on prime UAE assets over a 3 - 5 year horizon, independent of underlying price growth.

3. STRUCTURAL PILLARS: WHY THE UAE HOLDS

Four structural pillars that insulate the market from regional volatility

01 • Political Neutrality

The UAE's non-aligned diplomatic posture makes it the region's pre-eminent neutral commercial hub. It has maintained functional working relationships across competing geopolitical blocs, insulating it from the bloc polarisation that drives capital flight in other markets. No other jurisdiction in the region offers this.

02 • Currency Stability

The AED has been pegged to the USD at 3.6725 since 1997 through the dot-com bust, 9/11, the GFC, COVID-19, and two Iran-Israel conflicts. Sovereign wealth reserves exceed USD 1 trillion. For international investors, this eliminates exchange-rate risk entirely and provides a reliable store of value in a region otherwise prone to currency instability.

03 • Government Agility

Every regional crisis has been met with targeted government stimulus and decisive policy action: USD 1.5 billion during the Arab Spring, liquidity support post-GFC, Golden Visas and infrastructure acceleration post-COVID. The UAE government's track record of calibrated response is a material, quantifiable risk mitigant that no comparable emerging market can replicate.

04 • Safe-Haven Capital Magnet

Geopolitical disruption consistently triggers capital rotation into stable real assets. The UAE, with Dubai and Abu Dhabi operating as complementary commercial and residential hubs, has been the primary regional beneficiary of flight-to-quality flows for over two decades. Foreign investment drove 69% of Abu Dhabi's overall market growth in 2025 alone. This dynamic is self-reinforcing: the deeper the UAE's capital base becomes, the more credible its safe-haven status, and the stronger the next wave of inflows.

4. SCENARIO ANALYSIS

Four structured outcomes for UAE real estate amid current geopolitical dynamics

Three of the four scenarios below are constructive for UAE real estate. The fourth represents a temporary pause, not a structural break.



NEAR-TERM CONSOLIDATION

Pause — then recover

CONDITIONS

Conflict extends; broader risk sentiment causes short-term buyer caution.

MARKET RESPONSE

Transaction volumes ease temporarily. Pricing holds in prime; secondary assets soften modestly.

A pause, not a reversal. Disciplined buyers benefit from reduced competition.



CURRENT TRAJECTORY

Stable & advancing

CONDITIONS

Conflict contained; UAE remains operationally unaffected.

MARKET RESPONSE

Capital flows continue. Safe-haven premium holds. Market conditions broadly as observed today.

This is the scenario the data currently supports.



ACCELERATED INFLOWS

Strong appreciation

CONDITIONS

Regional de-escalation; institutional re-rating of Gulf real estate.

MARKET RESPONSE

Risk premium compresses. Global allocators increase Dubai weighting significantly.

Entry today captures full upside of the re-rating.



STRUCTURAL RE-RATING

Transformational upside

CONDITIONS

Medium-term normalisation; Dubai re-priced as a developed-market asset class.

MARKET RESPONSE

Yield compression toward London/Singapore levels. Trophy assets reprice at gateway city multiples.

Generational value creation for investors positioned ahead of the re-rating.

5. MARKET EVIDENCE

Transactions closed 1–6 March 2026 — capital commitment continues during active regional conflict

USD 272-354M

DAILY TRANSACTION TOTAL

~350 deals/day, 1–6 March 2026

>70%

END-USER DRIVEN DEALS

Not speculative — Khaleej Times, 5 Mar 2026

USD 36.2B

JAN-FEB 2026 COMBINED

↑38.8% YoY — entering crisis from record strength

NOTABLE CLOSED TRANSACTIONS — 1–6 MARCH 2026

Asset	Value (AED)	Value (USD)
Aman Residences Dubai (31,201 sq ft apartment)	422M	115M
Me'aisem Second Villas (6 luxury villas)	153M	42M
Al Yelayiss 1 Villas (32-villa cluster)	118M	32M
Solaya Penthouse, La Mer	106M	29M
Palm Jumeirah Waterfront Plot	99M	27M
Orla Infinity, Palm Jumeirah	85M	23M
Palm Jumeirah Ultra-Prime Villa (resale)	80M	22M
Palm Jumeirah Apartment (off-plan, 10,000+ sq ft)	59M	16M

No price concessions or distress selling recorded. Capital continues to clear at or above ask on trophy assets.

Source: DLD / Khaleej Times / Times of India.

For context, Abu Dhabi recorded USD 38.7 billion in total real estate transactions across 2025, a 44% year on year acceleration, with residential unit sales alone jumping 67%. The UAEs two premier markets are operating in lockstep.

6. ALLOCATION IMPLICATIONS

BlackOak's recommended approach by investor position — current as of 7th March 2026

FOR EXISTING INVESTORS	FOR GLOBAL ALLOCATORS
✓ Hold through geopolitical noise Selling into uncertainty has historically been an expensive way to express fear. Today, the data argues against forced de-risking from a jurisdiction combining dollar-linked stability, 10-year growth outperformance, and a 40–70% discount per sq ft to London, HK and New York with higher yields.	✓ Reframe the question The question is not whether the UAE is risk-free. No market is. The question is whether there is another jurisdiction where you can buy a dollar-pegged, rules-based, 6–8% yielding asset at USD 250–550 per sq ft, in a country positioning itself as the region's geopolitical and commercial anchor. On the available data, that shortlist is very small.
✓ Rotate within, not out of, the UAE The rational move now is rotation into irreplaceable micro-markets in Dubai and Abu Dhabi — Palm Jumeirah, DIFC, Saadiyat Island, Emirates Hills — that are most likely to participate in any future global re-rating.	✓ Concentrate in irreplaceable locations Palm Jumeirah, Emirates Hills, DIFC in Dubai; Saadiyat Island and Al Raha Beach in Abu Dhabi. Assets where land is finite, demand is global and repricing is asymmetric to the upside. These are the first to re-rate and the last to reprice downward.
✓ Watch for re-entry signals Bid-ask spread compression is the earliest signal of recovered confidence. Spreads remain tight today. Forced sellers are not yet visible in transaction data. Monitor DLD volumes weekly as the leading indicator.	✓ Source from motivated counterparties Sentiment-driven sellers accept pricing that normalises quickly. Active origination during low-confidence windows is precisely when the best risk-adjusted entries are created. The window does not remain open indefinitely.
✓ Think in 3–5 year windows Yield compression from 6–7% toward London/Singapore levels of 3–4% implies 50–80% capital appreciation on prime assets, independent of underlying price growth. The compounding clock starts at entry, not at resolution.	✓ Build the UAE platform position A UAE core position, combining Dubai liquidity, Abu Dhabi institutional depth, and Northern Emirates yield, creates internal diversification across a shared legal, currency and sovereign framework. Few global allocations offer that combination at these prices.

7. RISK MONITORING DASHBOARD

Indicators we watch — and what they are signalling today

INDICATOR	STATUS	OBSERVATION
Equity Market Stress	☑ CLEAR	UAE and global equities show no systemic distress pricing
Regional Financial Systems	☑ STABLE	No credit freezes or liquidity impairment observed
Oil Price Volatility	☑ CONTAINED	Brent fluctuation within normal range; fiscal buffer intact
AED/USD Peg	☑ INTACT	No pressure on peg; reserve coverage remains robust
DLD Transaction Volume	☑ ACTIVE	Daily volumes AED 1–1.3B; ~350 deals/day through first week of March
Bid-Ask Spreads	☑ TIGHT	No widening observed; sellers not capitulating on price
Mortgage Availability	☑ OPEN	UAE banks maintaining lending; no credit freeze in evidence
Institutional Sentiment	⚠ CAUTIOUS	Rational pause in new allocations pending trajectory clarity — not a withdrawal

The single amber indicator — institutional sentiment — reflects a rational pause, not a reversal of conviction. In comparable prior episodes (Arab Spring 2011, 12-Day War 2025), institutional re-entry occurred within 6–10 weeks of peak uncertainty.

8. CLOSING: A STRUCTURALLY UNDER-PRICED SAFE HAVEN

Viewed against both its own history and peers like London, New York and Hong Kong, the UAE is not a speculative anomaly. It is a structurally under-priced safe haven that has been compounding in plain sight.

The UAE's structural position has not changed.

The AED peg holds. The sovereign balance sheet is intact. The infrastructure functions. Courts operate. Titles transfer. Capital moves freely across both Dubai and Abu Dhabi. These are not incidental features. They are the foundation upon which twenty-five years of compounded returns have been built. None of them are impaired by the current conflict.

History rewards those who hold through noise.

In every prior geopolitical episode affecting the Gulf, the investors who sold during peak uncertainty regretted it. Those who held, or who entered while others hesitated, captured the recovery in full. We see no structural reason why this episode is different. The data, today, support that view.

The opportunity is real. And it is time-limited.

Periods of sentiment-driven softness produce the best entry points: motivated sellers, reduced competition, and pricing that will look conservative within 18–24 months. When visibility returns, so does competition for prime assets, and the pricing that comes with it. The window does not remain open indefinitely.

CONTACT DETAILS

Imran A. Sheikh
BlackOak Global
+971 4 398 9055
enquiries@blackoakglobal.com
info@blackoak-re.com
<https://www.linkedin.com/in/imranalisheikh/>